

ETOR pitch deck

I could not close the live-quote gap either — IBKR `search_contracts` was permission-denied in this session, same as both benches. Tape below is the pack's, and the deck says so.

PITCH — ETOR — VERDICT

PROPOSED — PENDING ADJUDICATION — no position today; a half-size starter (1.0% of book, two tranches) is proposed *only* after two document gates clear, with the first tranche priced at or below \$30.30 and the reopen/add bands set at \$25.50 and \$22.10.

What we believe

eToro's stock fell about 14% on its August 11 quarterly report and has not recovered — it now trades at \$28.03, roughly 42% below its 52-week high of \$48.28 and about 13% above its 52-week low of \$24.74. The market treated the report as proof that eToro is a crypto-cycle stock whose cycle has turned.

We believe the filed income statement says something different, and that the number that matters is not in any headline.

eToro books crypto trading on a gross basis: it reports the full customer notional as revenue and the matching cost of buying that crypto as cost of revenue. In the quarter just reported, those two lines were \$1,346.4M of revenue against \$1,353.6M of cost — meaning eToro's crypto spot business contributed **negative \$7.2M**. A year earlier the same two lines were \$1,914.8M against \$1,877.1M, a **positive \$37.7M**. So crypto swung roughly **\$45M against the company year over year**.

And total net contribution still grew, from \$210M to \$229M. Back the crypto leg out and the non-crypto business — equities, commodities, currencies, the fee and interest lines — grew from about **\$172M to about \$236M, roughly +37%**. That is the thesis in one sentence: *the crypto damage already happened, it is bounded because the segment is now approximately zero, and the rest of the business grew 37% straight through it*.

The price you pay for that: the company holds about **\$1.23B of its own cash and short-term investments against \$455M of total liabilities**, of which only \$148M is money owed back to customers — so roughly **\$775M is genuinely the company's own**. Against a \$2.57B market value that is an enterprise value of about **\$1.80B**. On the most conservative earnings base available (this quarter's adjusted EBITDA of \$78M, annualized to \$312M) that is **5.8x**. On the first-half run-rate it is 4.8x. Adjusted earnings put it near **10x**.

What the market believes

That crypto is 84.5% of eToro's revenue and crypto revenue just fell 29.7%. That is a true and checkable statement, and it is the number a screen or a headline reader picks up. It is also the gross number, and the gross number for a principal-booked business is close to meaningless — a firm that buys \$1,346M of crypto and sells it for \$1,346M shows enormous "revenue" and earns nothing.

The market also believes, correctly, that: - Adjusted EBITDA and net contribution both came in **below analyst consensus**, which is why Cantor Fitzgerald cut its price target to \$53 from \$61. - July's crypto activity was brutal: trades down ~73%, average size down ~50%, implying notional down about 86.5% — and none of that has hit a reported quarter yet. - The company simultaneously announced a **\$231M acquisition** of a US broker, TradeZero, which does not close until the first half of 2027 and is accretive only to *adjusted* earnings. - Management repurchased **\$189.1M of its own stock in the first half** at an average around \$37.80 — about 35% above today's price.

Why we might have edge

1. **The netting.** The paired cost-of-revenue line sits directly beneath the crypto revenue line on the same filed statement. Anyone quoting 84.5% without it is comparing a gross number to a net one — a 17-fold difference in basis. Our own red bench made exactly this mistake, twice, in two full-text passes.
2. **A positive turn inside the KPI table the market sold.** Capital-markets money invested per trade went **\$197 in April (-48% year over year) to \$207 in July (-23%)** — up 5% sequentially with the annual decline cut in half. Neither of our benches read this correctly on the first pass; both mismatched it against the crypto line.
3. **Direction of the crypto loss.** Crypto spot contribution was **-\$18M in Q1 and -\$7.2M in Q2** — the loss *narrowed 60%* as volume fell, because the cost line is variable, not fixed. There is less left to break than either the bull or the bear case assumed.
4. **The balance sheet is unusually clean for the sector.** Customer money owed out is \$147.8M against \$1.23B of liquid assets; equity is \$1.36B; property and equipment is \$9.4M. There is no hidden leverage to discover.

Why it might be priced in

Stated plainly, because several of these are strong:

1. **Costs are growing into a slowing top line.** Net contribution +9%, adjusted EBITDA +8.3% — margin went the wrong way. Sequentially, adjusted EBITDA fell **28%** versus roughly **11%** in the same quarter last year. This is the real bear argument and *neither bench prosecuted it*. Our blue bench flagged it against its own recommendation.
2. **No catalyst for about three months.** eToro publishes monthly operating metrics only inside quarterly releases. There is no interim data between now and the next report — expected around **November 9, but unconfirmed** (derived from a data vendor; no company press release names it). Buying now is buying a blind quarter.

3. **The acquisition is unpriced and has an integrity problem.** TradeZero America and its co-founder Daniel Pipitone — quoted by name in eToro’s announcement and staying on — settled SEC charges in May 2022 for **deceiving customers about the January 2021 meme-stock trading halts** (Securities Act §17(a)(2) and (3); \$100k firm / \$25k individual penalties; a two-year independent compliance consultant). The SEC found new-account applications ran ~200x the daily average off that misrepresentation. eToro is paying up to \$231M — about 2.9x revenue — for a franchise whose growth is partly an artifact of a sanctioned misstatement, and the deal requires regulatory approval.
4. **Supply.** Eleven Form 144 notices of intended insider sale in 2026, including one on **August 12, the day after the crash, at the low**. We have not pulled a single share count, so we cannot say whether this is meaningful or trivial.
5. **This template’s track record is bad.** Our own scoring of “buy the earnings-day dislocation” setups is **0-for-7**. The base rate argues for half-size at most.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Crypto is only ~4.8% of contribution — damage is bounded”	Fetches the filed exhibit (sec.gov EX-99.1)	The originating brief took this from a transcript aggregator , not a filing. But the filed statement supports it: \$1,346.405M revenue – \$1,353.601M cost = -\$7.2M , i.e. -3.1% of the \$229M net contribution	YES on the economics, NO on the original provenance
“Crypto is 84.5% of revenue, so the ceiling doesn’t exist” — our red bench’s headline kill	Re-read the same exhibit	Our red bench’s error. It quoted the gross revenue line and omitted the paired cost line one row below, then declared a 17x “venue divergence.” Two full-text passes missed it	NO — refuted, and it was the whole kill
“The shrinking crypto line converges to a larger loss” (red)	Q1 vs Q2 crypto revenue/cost pairs	Q1 -\$18M → Q2 -\$7.2M. The loss narrowed 60% ; the cost line is variable	NO — refuted
“April printed the same \$207 at -22%” (originating brief)	Q1 release KPI table (globenewswire, 2026-05-12)	Brief compared July’s capital-markets figure to April’s crypto figure. Wrong line	NO — bull bench error
Red’s correction of the above: “April was \$197, -48%”	Same table	Red made the identical mistake in reverse — it matched April’s capital-markets line to the brief’s crypto line. Like-for-like: capital markets \$197 (-48%) → \$207 (-23%), a genuine improvement both benches missed	NO — bear bench error; the correction ran toward the bull case
“Per-account balances collapsing proves crypto-funnelled junk accounts” (red)	Both KPI tables	Assets per funded account went +5.3% in April to -19.6% in July — a 25-point swing in one quarter, when the quarter’s ~6% account growth can explain at most 6 points even at zero dollars per new account. Cause: the <i>prior year</i> ramped (+24% April→July	NO — refuted as stated; the funnel question is untested, not answered

Claim	How checked	Found	Confirmed?
		2025) while 2026 was flat (−1%). A hard-comparison artifact	
“Off-cycle institutional restructuring — four 13G/A in 19 days” (red)	Amended Rule 13d-2, effective 2024-09-30	The August 14 cluster is the statutory 45-day-after-quarter-end deadline . Routine	NO — refuted
“GAAP net income −35% sequentially” (red)	Ran the same comparison for last year	Last year’s equivalent sequential move was −50% . This year’s fade is shallower	NO on that metric — but adjusted EBITDA’s −28% vs −11% seasonal is real and stands
“Buyback = 3x first-half earnings, value destruction” (red)	Filed cash-flow statement: treasury purchases \$189,108K	First-half GAAP net income was \$135M, so 1.4x, not 3x . Mark-to-market loss on the Q2 tranche is roughly \$23M. Real, modest, overstated	PARTIALLY — magnitude wrong
“\$775M of genuinely own cash”	Filed balance sheet	Cash \$945.9M + short-term \$267.3M + restricted \$16.6M = \$1,229.8M; customer payable only \$147.8M; total liabilities \$454.7M; equity \$1,363.4M	YES — and red conceded this against its own case
TradeZero counterparty integrity	SEC Press Release 2022-88	Firm and Pipitone individually sanctioned; he remains CEO and is quoted in eToro’s announcement	YES — red’s single best finding, and it sustained in full
App-download/review velocity as an independent read on the funnel	Ran the connector three times across ETOR, COIN, HOOD	All three returned UNRESOLVED. Zero external corroboration. This is an infrastructure failure, not a negative result, and must not be recorded as a clean pass	NO — the one independent test never ran
Live market price	Attempted an IBKR quote pull	Permission denied in this session , for me and for both benches. All prices here are the evidence pack’s \$28.03 (pack header shows \$28.12 — a ~0.3% discrepancy we did not resolve)	NO — unresolved
Share count and share classes	Filed exhibit	Only weighted-average basic 81.71M / diluted 91.71M disclosed. Period-end shares and any Class A/B split are not in the exhibit. Every per-share number above uses diluted weighted average	NO — capital structure pull incomplete
Which detectors were even applicable	14 dispatched	9 of 14 matched on physical-asset features a fintech does not have (property permits, farmland, flood risk, rental housing). Our dispatch rules for this industry code over-fire and need a “no physical assets” guard	NO — dispatch defect, logged

PROPOSED ENTRY BANDS

Today: NO ENTRY. Not on valuation — on two unmet document conditions and a three-month data vacuum. Blue’s ruling was a half-size starter *gated*; two of the three gates are not met, so nothing is bought yet.

Gates that must clear before any tranche: - G1 — A company-filed document (20-F, or a 6-K supplement/investor deck) containing either an **issuer-published contribution-by-asset-class table** or the **counterparty note** explaining the \$339.8M “Counterparties” asset. Right now that asset — clearing and counterparty concentration — is entirely undisclosed and nobody on either bench resolved it. - **G2** — The **cash-versus-stock split** of the TradeZero consideration. Up to 2.5M new shares is ~2.7% dilution and survivable. A mostly-cash deal (~\$136–161M, roughly 20% of the company’s own liquidity) stacked on top of \$189.1M of buybacks is a different company, and we do not buy it. - **G3** — No position established before the next quarterly report. There is no interim data; pre-positioning is paying for a blind quarter.

Sizing. Neither bench stated a percentage of book — that is my assumption, stated openly: a full starter here would be 2.0% of book; the integrity overhang on the acquired business and the 0-for-7 record of this setup halve it to **1.0% total, in two 0.5% tranches**, with a hard cap of 1.5% including the deep add.

Bands (all derived from the benches’ own arithmetic: enterprise value = market value minus \$775M own liquidity; earnings base = this quarter’s adjusted EBITDA annualized, \$312M; 91.71M diluted shares):

Level	Price	What it is	Action
Ceiling on what we will pay	\$30.30	Fair value centered at 8x (\$35.70), cut 15% for the integrity overhang on the acquired franchise	Tranche 1 — 0.5% of book, only after G1 and G2 clear, or into the reaction to the ~Nov 9 report, whichever is first
5x	\$25.50	Enterprise value 5.0x — below this the market is paying nothing for a business that grew its non-crypto contribution 37%	Tranche 2 — 0.5% of book
4x	\$22.10	Enterprise value 4.0x; roughly 11% below the 52-week low	Deep add — 0.5%, only if own liquidity is still ≥\$600M at the last report. Total position capped at 1.5%
8x	\$35.70	Uncapped fair value center	Trim half
10x	\$42.50	Full re-rate to the pre-fall multiple	Exit remainder

The honest asymmetry: if the bear case is right — July’s crypto collapse flows through and costs keep growing, taking the earnings base to roughly \$260M — then 6x gives **\$25.46**, which is 9% below today. The downside case is approximately today’s price. The upside case is 27% (8x) to 52% (10x). That ratio, not conviction, is the argument for a small position.

No options overlay. The timing is unresolvable and the account is taxable; selling premium here converts a research view into short-volatility exposure we did not choose.

Catalyst dates: - ~**2026-11-09** — Q3 results. **UNCONFIRMED** — vendor-derived only; no company press release names it. Consistent with the Feb 17 → May 12 → Aug 11 cadence. This is the only carrier of monthly operating data between now and then. - **By ~2027-04-30** — the annual report (20-F) is the resolver for G1 and for the counterparty concentration. Date is rule-derived from the filing deadline, not confirmed. - **1H 2027** — expected TradeZero close, subject to regulatory approval. No specific date exists. - **2026-11-14** — next statutory institutional-holder amendment deadline; useful only as a calendar marker, not a signal.

Note on filing type: eToro is a foreign private issuer. It does **not** file 8-Ks or quarterly 10-Qs, and files IFRS statements — which is why the standardized quarterly financial database is empty for this name. That is not a data defect. Any event monitor must watch **6-K**, not 8-K.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 22.1 (deck-provisional: Enterprise value 4.0x, ~11% below the 52-week low of 24.74 – *deepaddonlyifownliquiditystill > =*)
- filing watch: 6-K, 20-F until 2027-02-13 (deck-provisional: Issuer-filed contribution-by-asset-class table or counterparty note resolving the undisclosed \$339.8M)
- dated pack ETOR|2026-11-09: ETOR: Q3 2026 results - the only carrier of monthly operating KPIs and the first read on whether cost growth is investment or erosion (date confirmed=True)
- dated pack ETOR|2026-11-14: ETOR: Statutory 45-day institutional-holder 13G/A deadline - calendar marker only, not a signal (date confirmed=False)
- dated pack ETOR|2027-04-30: ETOR: 20-F annual report deadline (four months after Dec 31 year end) - resolver for the counterparty note and share classes (date confirmed=True)
- dated pack ETOR|2027-06-30: ETOR: Outer edge of the stated 1H 2027 window for the TradeZero closing, subject to regulatory approval (date confirmed=False)

What remains unverified

- **The customer-quality question is open, not answered.** Red claimed to prove new accounts arrive with 20% less money; that inference was a hard-comparison artifact. Blue refuted it but proved nothing in its place. The independent test — app engagement versus Coinbase and Robinhood — failed to run three times.
- **The cost trajectory.** Adjusted EBITDA margin compressed this quarter and fell 28% sequentially against an 11% seasonal norm. Whether that is investment or erosion is unknowable until the Q3 report. This single item could turn the recommendation to no-position.
- **The \$339.8M “Counterparties” asset.** Clearing and counterparty concentration behind it is undisclosed. For a broker this is material and nobody resolved it.
- **The TradeZero consideration mix,** the purchase agreement’s conditions, and what regulatory approval requires given the acquired firm’s sanction history.

- **Insider supply size.** Eleven 144s, zero share counts pulled, IPO lock-up expiry date unknown.
- **Capital structure.** Period-end share count and any Class A/Class B split are not in the exhibit; every per-share figure here rests on diluted weighted-average shares.
- **The spot price itself.** No live quote was obtainable. \$28.03 is the pack's, six sessions post-report; the pack header carries \$28.12 and that ~0.3% discrepancy is unreconciled.
- **The spot-versus-derivative split of crypto contribution (\$19.7M)** remains transcript-sourced, not filed. It does not change the conclusion but it is not primary.
- **The report date** — the whole timing plan hangs on ~Nov 9, which no company document confirms.

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